

Akshay Kumar vs Krishan Kumar on 29 January, 2025

IN THE COURT OF JMFC-02, NORTH WEST DISTRICT
ROHINI COURTS, DELHI

PRESIDED BY : SH. APOORV BHARDWAJ

In case of:-

AKSHAY KUMAR

... Complainant

VERSUS

KRISHAN KUMAR

... Accused

JUDGMENT

- | | |
|--|---|
| a) Sl no. of the case : | 3473/17 |
| b) CNR of the case : | DLSW020239872017 |
| c) Date of institution | 11.12.2014 |
| d) Name, parentage
and address of the complainant : | Sh. Akshay Kumar,
S/o Sh. Ashok Kumar,
R/o H. No.500, Ground
Floor, Orchid Island,
Artemis Hospital, Sector
51, Islampur, Gurgaon,
Haryana. |
| e) Name, parentage and address of the
accused: | Krishan Kumar,
S/o Late Sh. N. L. Thakur,
R/o T-6, Top Floor, Shimla
Hotel, Himachal Pradesh. |
| f) Offence complained of : | 138 NI Act |
| g) Total cheque amount : | 3,00,000/- |
| h) Plea of the accused : | Pleaded not guilty |
| i) Reserved for judgement | 10.12.2024 |
| j) Final order : | Convicted |
| k) Date of Judgment : | 29.01.2025 |

BRIEF STATEMENT OF FACTS FOR THE DECISION

1. Vide this judgment, I shall decide the present complaint filed under section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as 'NI Act') by the complainant against the accused.

Factual Background

2. As per the version set out by the complainant, on the ground of friendly relations between the parties, the complainant had provided a loan of Rs 3,00,000/- to the accused on 24.10.2013 via

cheque no. 145014 dt. 24.10.2013 drawn on Axis Bank, Salimar Bagh, Delhi for a period of one month. Thereafter, in discharge of his liability the accused issued the cheque in question to the complainant. The complainant presented the cheque to his bank i.e. Axis Bank, Shalimar Bagh, Delhi however, the same was returned unpaid for the reason payment stopped by drawer. Thereafter, legal demand notice was issued to the accused in regular course, however, he failed to pay the total cheque amount within 15 days thereof and hence the present case.

Trial & Proceedings before the Court

3. Upon a prima facie consideration of pre-summoning evidence, cognizance of offence under section 138 NI Act was taken and the accused was summoned. Thereafter, separate notice explaining the accusation was put to the accused under section 251 of The Code of Criminal Procedure, 1973 (hereinafter referred to as 'CrPC') to which the accused pleaded not guilty and claimed trial. At this Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.2 of 17 stage, the following aspects were admitted/denied by him:-

3.1. Signatures on the cheque in question :- Admitted 3.2. Issuing the cheque in question :- Admitted. However, he clarified that he had issued the same to one Mr Nilani and not to the complainant.

3.3. Receiving the legal demand notice :- Denied

4. Thereafter, he was granted an opportunity to cross-examine the complainant under section 145(2) NI Act.

5. The complainant was examined as CW-1 and he relied on pre-summoning evidence as post summoning evidence i.e on evidence by way of affidavit Ex CW1/A and on the following documents :-

5.1. Ex CW1/A i.e. the cheque in question 5.2. Ex. CW1/B i.e. the return memo 5.3. Ex. CW1/C i.e. the legal notice 5.4. Ex. CW1/D & Ex CW1/E i.e. the postal receipts 5.5. Ex. CW1/F i.e. the MOU

6. Thereafter, CW-1 was cross-examined. During his cross-examination, he stated that:-

6.1. He was aware of all the facts of the present case at the time of filing the pre-summoning evidence by way of affidavit. He signed the affidavit after reading all its contents. There is a difference between pre-summoning and post-summoning evidence by way of affidavit. Some other actions were added in the post-summoning evidence. He did not remember the exact word-by-word content of the affidavit. He Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.3 of 17 did not know whether any application for the amendment of the complaint was moved, as the legal formalities were handled by his counsel.

6.2. He had known the accused since 2012-13 but did not remember the exact time and date when he came to know him. He met the accused at the Railway Hospital in Paharganj, Delhi. He did not remember when he went to the Railway Hospital, as it was a long time ago. He had gone there for medical sales work.

6.3. He was working as a Sales Officer at Winsome Laboratories Ltd., located at B-257, Naraina Industrial Area, Delhi. At that time, he was earning a salary of 50,000. He stated that he could produce his salary statement in court if asked.

6.4. He was an income tax assessee and had filed returns at the relevant time, i.e., in 2013. He did not give any loan to anyone other than the present accused. The accused requested a loan after he had met him 5-6 times. He did not remember the exact date and time, but the loan was disbursed in October 2013. He did not know anyone named Sunil Kumar or Amar Singh. He had informed his counsel about preparing the MOU at the time of sending the notice. He did not remember whether the MOU was mentioned in the legal notice sent by his counsel. The interest Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.4 of 17 agreed upon between him and the accused might have been mentioned in the notice.

6.5. He disbursed the loan from his salary and some funds from his savings. The payment was made from his account, and he could produce his account statement if asked. He had also taken some money from his father, namely Ashok Kumar Tyagi. He had filed one case against S.K. Mathur for cheque bounce, where the cheque amount was 3,00,000.

6.6. He knew Mr. Anuj Sood but had not filed any cheque bounce case against him. He did not make the accused sign any documents; the accused himself approached him for the loan. The accused gave him copies of his Aadhaar card, PAN card, Form 16, salary slip, official ID card, and other documents, which he submitted in court. At the time of handing over these documents, only he and the accused were present. No cash amount was returned to him by the accused.

6.7. It was wrong to suggest that he was deposing falsely due to contradictions in the source of his funds. He was financially capable of granting the loan. It was correct to say that he had 90,000 in his bank account on 24.10.2013. It was also correct that he had received 4,00,000 in his account from Ashok Kumar Tyagi on 25.10.2013. The accused had Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.5 of 17 handed over the cheque in question to him in November 2013, in the presence of Amar Malik.

However, he did not remember the exact location where the cheque was handed over. Voluntarily, he stated that the accused had called him outside his office. At that time, his uncle, Amar Malik, was with him. The accused came out of his office and gave him the cheque. The office of the accused was situated at Rail Bhawan.

6.8. He had met the accused for the last time face-to-face in October or November 2016. He did not remember who was present along with them at that time. Their last meeting took place in the vicinity of the Rohini court area. It was wrong to suggest that the accused had never met him. He did not maintain any diary regarding the loan amount. Voluntarily, he stated that it was a friendly loan.

6.9. He had filed other cases under Section 138 of the NI Act against different accused persons, as he had provided some services to them and certain amounts were due from their side. The accused had handed over the cheque after one month as per the MOU. Voluntarily, he stated that the accused had further told him to deposit the cheque around March or April 2014. The accused had handed him the cheque with all particulars filled in. Voluntarily, he stated that he did not know whether the details were filled in by the Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.6 of 17 accused or someone else.

6.10. He did not know Mr. Nilani. It was wrong to suggest that he was engaged in money lending. It was also wrong to suggest that the accused had returned the entire amount of 3,00,000 within four months, by February 2014. It was wrong to suggest that the cheque in question was a blank security cheque that he had misused. It was further wrong to suggest that he had fabricated a false story and was deposing falsely.

7. Thereafter CE was closed.

8. Thereafter a statement of the accused under section 313 CrPC was recorded wherein he reiterated his innocence and opted to lead defence evidence.

9. The accused moved an application under section 315 CrPC and appeared as defence witness DW-1.

10. The accused, appearing as DW-1, asserted that he did not know the complainant and that one Mr. Nilani had given him a cheque of Rs 3,00,000/-. On the encashment of the said cheque he had paid Rs 48,000/- in cash to Mr Nilani and thereafter Rs 1.52 lakhs to Mr Nilani in total. He had issued the cheque in question as blank signed cheque to Mr Nilani and didn't know how the same reached the complainant.

11. During his cross-examination, he stated that:-

11.1. He was working in the Ministry of Railways, Rafi Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.7 of 17 Marg. He had worked in the Railways from 1982 until 2017. At this stage, he was shown Ex. CW1/G (i.e. the account statement of the complainant) at point Mark A, to which he admitted the said entry for receiving the loan amount of 3 lakhs. (Voluntarily, he stated that he had taken the aforesaid sum of 3 lakhs from Mr. Neelani and not from the complainant).

11.2. He was also shown Ex. CW1/A, to which he admitted that the cheque bore his signature. He was also shown Ex. CW1/C, to which the accused admitted that both addresses mentioned in the exhibited documents, i.e., the legal notice, were correct and belonged to him. He denied that despite receiving the notices at his address, he had deliberately stated that he had not received the notice.

11.3. He was shown Ex. CW1/F (i.e. the MOU), to which he admitted that he had executed the memo of understanding dated 24.10.2013 and that the signature on the said memo was his.

11.4. He also admitted that he had not made any complaint against either Mr. Neelani or the complainant.

11.5. He denied various other suggestions.

12. During the course of final arguments Ld counsel for the complainant submitted that the complainant has duly proved its Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.8 of 17 case by placing on record the entire documentary evidence and the accused has failed to rebut the presumption against him. Per contra, on behalf of the accused it was submitted that the complainant had filed a false and frivolous case in collusion with Mr Nilani and the complainant lacked the financial capacity to advance the loan in question.

Legal Position:-

13. The foremost check point is whether the facts averred by the complainant fulfil the basic statutory requirement for constituting an offence under section 138 NI Act. To establish the offence under Section 138 of the NI Act against the accused, the complainant must prove the following:-

(i) The accused must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

(iii) That cheque has been presented to the bank within a period of three months from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) That cheque is returned by the bank unpaid, Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.9 of 17 either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it

exceeds the amount arranged to be paid from that account by an agreement made with the bank;

(v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

Being cumulative it is only when all the aforementioned ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under section 138 NI Act.

14. In the present case, the complainant has filed on record the original cheque as Ex. CW1/A. The genuineness of the cheque is not disputed. The accused has also admitted his signatures on the cheque in question.

Therefore ingredient number (i) stands fulfilled in the present Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.10 of 17 case.

15. The said cheque was presented to the bank within a period of three months from the date on which it was drawn and was returned dishonoured for the reason "Payment Stopped by Drawer". The returning memo dated 12.03.2014 bearing the fact of dishonour of cheque in question has been exhibited by the complainant as Ex. CW1/B. The genuineness of the returning memo is also not disputed by the accused.

Therefore ingredient number (iii) & (iv) also stand fulfilled in this case.

16. The complainant then sent a legal notice, Ex CW1/C dated 11.04.2014. The original postal receipts dated 11.04.2014 have been placed on record as Ex CW1/D & Ex CW1/E. The accused has denied that he received the legal demand notice, however he has admitted during his cross-examination, that the addresses mentioned on the legal notice are his correct addresses. Therefore, since the legal demand notice has been sent on the correct postal address, it shall be presumed to have been delivered as per section 27 of the General Clauses Act, 1897. Moreover, in light of the decision of the Hon'ble Supreme Court of India in C C Alavi Haji v Palapetty Muhammad (2007) 6 SCC 555, the accused not having paid the amount of cheque in question within 15 days of service of summons to him, he cannot be allowed to raise any grievance regarding the non-receipt of the legal notice. The fact that the legal demand notice has made a clear and unambiguous demand for payment of the cheque amount(s) in question is also Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.11 of 17 not disputed.

Therefore, the ingredient number (v) and (vi) are also fulfilled in the present case.

17. Now, I shall consider whether condition number (ii) i.e. the requirement that the cheque in question have been issued for the discharge, in whole or in part, of any debt or other liability is fulfilled or not. Towards this end, it is apt to discuss that a negotiable instrument including a cheque carries following presumptions in terms of Section 118 (a) and Section 139 of the NI Act.

Section 118 of the NI Act provides :

"Presumptions as to negotiable instruments: Until the contrary is proved, the following presumptions shall be made:

(a) of consideration :- that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred was accepted, indorsed, negotiated or transferred for consideration;"

Section 139 of the N.I Act further provides as follows:

"Presumption in favour of holder:- it shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability"

Thus, the combined effect of Section 118(a) and Section 139 of NI Act raises a presumption in favour of the holder of the cheque that he has received the same for discharge, in whole or in part of any debt or other liability. Therefore, existence of condition number (ii) is also presumed against the accused.

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18. When the presumption is raised in favour of the complainant, the burden is shifted on the accused to disprove the case of the complainant by rebutting the presumption. The accused can displace this presumption on the scale of preponderance of probabilities. Lack of consideration or a legally enforceable debt need not be proved beyond a reasonable doubt as is the general rule in criminal cases. The accused has to make out a fairly plausible defence which is acceptable to the court. This the accused can do either by leading his own evidence or by raising doubt /demolishing the material or evidence brought on record by the complainant. Reliance can be placed on Basalingappa v Mudibasappa (2019) 5 SCC 418.

19. Further, the court need not insist in every case that the accused should disprove the non-existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances, upon consideration of which, the court may either believe that the consideration and debt did not exist or their non-existence was so probable that a prudent man would under the circumstances of the case, act upon the plea that they

did not exist. The accused may also rely upon circumstantial evidence to shift the burden again on the complainant. [Refer: Bharat Barrel and Drum Manufacturing Company v Amin Chand Pyarelal 1999 SCCOnline SC 188 and Kumar Exports v Sharma Carpets, Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.13 of 17 2008 SCC OnLine SC 1885].

20. Also, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant-accused cannot be expected to discharge an unduly high standard or proof. Presumption of innocence as a human right needs to be delicately balanced with doctrine of reverse burden contained in section 139 of NI Act. [Reference can be made to Rangappa v Sri Mohan 2010 SCC OnLine SC 583 and Krishna Janardhan Bhat v Dattatreya G Hegde 2008 (4) SCC 54].

21. Having referred to the above judicial pronouncements, I shall now analyse the record in their light.

Whether the accused has been able to rebut the presumption against him.

22. In the present case the main defence of the accused is that he had never taken any loan from the complainant and that he had taken the cheque of Rs 3 lakhs from one Mr Nilani and had repaid Rs 1.52 lakhs from him. This defence appears to be totally baseless and sham for the following reasons:-

22.1. The accused did not bring on record and cogent or believable evidence to show that his transaction was with Mr Nilani. Further, he admitted during his cross-examination that he did not file any complaint against Mr Nilani for misuse of his cheque.

Therefore it appears that Mr Nilani is a person Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.14 of 17 existing only in his imagination.

22.2. The accused has admitted taking the cheque of Rs 3 lakhs from Mr Nilani. However, a bare perusal of the cheque would show that it bears the name of the complainant as the drawer of the said cheque. Despite such a clear indication on the face of record, the accused's assertion that he had actually taken the loan from one Mr Nilani appears to be totally baseless and sham.

22.3. Further, the payment of Rs 3 lakhs in the account of the accused has also been proved by the complainant by showing his bank account statement Ex CW1/G. The accused failed to give any proper explanation to the same during his cross-examination.

22.4. Further, the accused has even admitted his signatures on Ex CW1/F i.e. the MOU between him and the complainant wherein the entire transaction has been duly recorded. No explanation has been forthcoming as to why he signed on the said document when he had not taken any loan from the complainant.

23. I have also considered the averments of the accused that the cheque was given as a blank signed security cheque and the same has been misused. It is trite that averment that a blank signed security cheque has been misused is no defence unless the accused can prove on a scale of preponderance of probabilities that he did not have a crystallized legal liability co-extensive to Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.15 of 17 the cheque amount on the date of presentation of the cheque. Reliance can be placed on Bir Singh v Mukesh Kumar (2019) 4 SCC 197 and Credential Leasing & Credits Ltd. v Shruti Investment 2015 SCC OnLine Del 10061. In the present case, the accused has made no attempt to discharge this burden.

24. I have also considered the argument that the complainant has not disclosed the alleged loan advanced to the accused in his ITR. In this regard, the attention of this court goes towards the judgments of Hon'ble Bombay High Court in Krishna P Morajkar v Joe Ferrao 2013 SCC OnLine Bom 862, which has also been relied upon by the Hon'ble High Court of Delhi in Barun Kumar v State of NCT of Delhi 2021 SCC OnLine Del 3498, as per which it has been clearly laid down that the mere fact that the loan has not been shown in the ITR does not in itself make it unenforceable. Non mentioning of the loan amount in the ITR is a contravention of the income tax laws which may be dealt with under the provisions of the relevant statutes and the accused in cases u/s 138 of the NI Act, cannot evade his liability merely because the loan transaction has not been shown in the ITR by the complainant.

25. I have also considered the argument that the complainant has filed two affidavits in the present case. Since the subsequent affidavit was never tendered as evidence, I have not examined it from the complainant's perspective. However, I have reviewed it from the accused's standpoint to determine whether it contains any significant inconsistencies or material contradictions that could weaken the presumption against the accused. After a thorough Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.16 of 17 analysis, I find that no such discrepancies exist and none were pointed out during the stage of arguments as well.

26. Therefore, I am of the view that on a scale of preponderance of probabilities, the accused has not been able to rebut the presumption against him.

Therefore ingredient no. (ii) remains presumed to have been established against the accused beyond reasonable doubt.

Conclusion

27. In view of the evidence adduced, documents put forth and arguments advanced by the parties and further in view of the above discussion, the court is of the considered view that Sh. Krishan Kumar is guilty of offence under Section 138 of Negotiable Instruments Act, 1881 and accordingly, he is hereby convicted under Section 138 of Negotiable Instruments Act, 1881.

Announced in open court on 29.01.2025 Judgment consists of 17 pages.

APOORV Digitally signed by APOORV BHARDWAJ BHARDWAJ (APOORV Date: 2025.01.30 BHARDWAJ) 09:45:06 +05'30' JMFC-02, NORTH WEST DISTRICT ROHINI COURTS DELHI/29.01.2025 Ct Case No. 3473/2017 Akshay Kumar Vs. Krishan Kumar Page no.17 of 17